

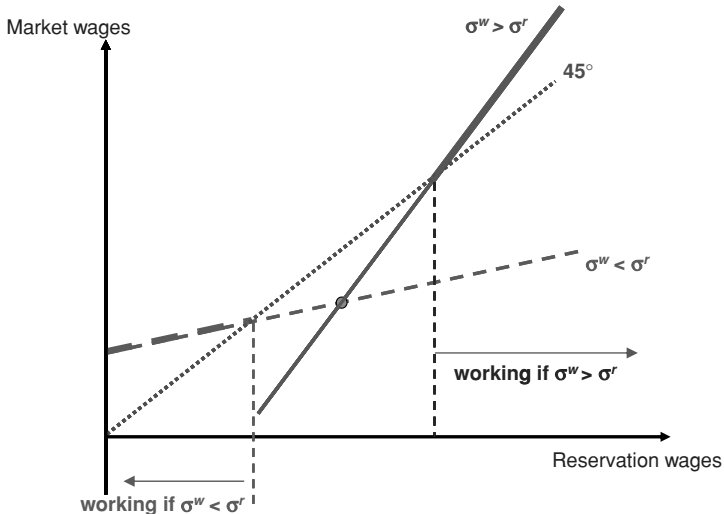


FIGURE II

GHR Model: Inequality Has Composition Effects on Measured Wages

The figure illustrates a comparative static for the Gronau-Heckman-Roy model with respect to σ^w ; σ^w (σ^r) denotes the standard deviation of market (reservation) wages. The 45-degree line partitions market workers from nonworkers. Two model parameterizations are shown: σ^w greater (solid line) and σ^r greater (dashed line). The thick portions of the line are above the 45-degree line and indicate workers.